IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.37/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
IN THE MATTER OF
AD2PRO MEDIA SOLUTIONS PRIVATE LIMITED
WITH
AD2PRO GLOBAL CREATIVE SOLUTIONS PRIVATE LIMITED

Order delivered on: 13th July, 2018

Coram: Hon'ble Shri Rajeshwara Rao Vittalana, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): Uday Shankar Associates
Advocates
Fortune Chambers, 1st Floor, No.8,
Lalbagh Road, Richmond Circle,
Bangalore-560027

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on:14.6.2018

AD2PRO MEDIA SOLUTIONS PRIVATE LIMITED
2nd Floor, No.10, Bannerghatta Road,
Bangalore-560078 **-Applicant/Transferor Company**

ORDER

This Application is filed on behalf of the Applicant Company under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying for an order to dispense with convening of meeting of Equity Shareholders and Preference Shareholders of the Applicant Company/Transferor Company and direct that the meeting of Secured Creditors and Unsecured Creditors of the Applicant Company/Transferor Company be held for considering the scheme of Arrangement. The Scheme of Arrangement is shown as **Annexure-A**.

The averments made in the Company Application are briefly described hereunder:-

The Applicant seeks an order to dispense with convening of meeting of Equity Shareholders and Preference Shareholders of the Applicant Company and direct that the meeting of Secured Creditors and Unsecured Creditors of the Applicant Company be held for

considering the scheme of Arrangement where under Ad2pro Media Solutions Private Limited (Applicant/Transferor Company) is proposed to be merged with Ad2pro Global Creative Solutions Private Limited (Transferee Company) in terms of Scheme of Arrangement shown as **Annexure-A**.

Application is filed on behalf of the applicant company alleging that the Applicant Company/Transferor Company was incorporated on 25th October, 2006 under the name and style of **AD2PRO MEDIA SOLUTIONS PRIVATE LIMITED** having **CIN No.U72300KA2006PTC040779**. The Registered office of the Applicant Company is situated at 2nd Floor, No.10, Bannerghatta Road, Bangalore-560078.

The main objects of the Applicant Company is to carry on in India and anywhere else in the world, business process outsourcing activities in any industry and to process any data for any industry, undertake construction and maintenance of databases, provide research and analysis services, carry out training and development for any industry and other related activities and in particular, outsourcing of marketing functions, supplying advertisement production services to print media clients and other entities in India and abroad.The copy of Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-B series.**

The latest authorised share capital of the Applicant Company is Rs.3,25,00,000/- divided into 20,00,000 Equity Shares of Rs.10/- each and 12,50,000 Optionally Convertible Preference Shares of Rs.10 each. The issued, subscribed and paid-up capital of the Applicant Company is Rs.2,71,81,360/- divided into 15,91,543 Equity Shares of Rs.10/- each and 11,26,643 Optionally Convertible Preference Shares. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-C**.

It is further stated that, the Board of Directors of the Applicant Company have approved and adopted a Scheme of Arrangement at their meetings held on 16th March, 2018 by virtue of which Ad2pro Media Solutions Private Limited (Applicant/Transferor Company) is proposed to be merged with Ad2pro Global Creative Solutions Private Limited (Transferee Company) subject to confirmation.. Copy of the Board Resolution of Applicant Company dated 16th March, 2018 approving and adopting the Scheme of Arrangement is shown as **Annexure-E**.

It is further averred in the scheme that the Board of Directors of the Applicant Company is of the opinion that the arrangement would result in following benefits:

1. Greater integration and greater financial strength and flexibility for the combined entity leading to stronger negotiation power in the market and strengthened leadership in the industry.
2. Greater efficiency in the cash management of the combined entity, and unfettered access to cash flow generated by the combined entity for the group.

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company has certified that there are 7 equity shareholders and one Preference Shareholder as on 28th February, 2018 of the Applicant Company. The certificate of the Chartered Accountant certifying the list of shareholders is **shown as Annexure-F.**

We have seen the consent affidavits which filed by Seven Equity shareholders of Applicant Company/Transferor Company i.e., (i)Mr.Venkateshan Gopalakrishnan, holding 5,09,604 equity shares, constituting 32.01% of the paid-up capital,(ii)Mr.Venkateshan Gokulakrishnan holding 3,64,003 equity shares, constituting 22.87% of the paid-up capital,(iii) Todd Brian Brownrout, holding 2,91,202 equity shares, constituting 18.29% of the paid-up capital, (iv)Pervez Sikora, holding 2,91,202 equity shares, constituting 18.29% of the paid-up capital, (v) Ramanathan Vairavan, holding 76,632 equity shares, constituting 4.81% of the paid-up capital, (vi)Kambhir Manghirmalani, holding 58,600 equity shares, constituting 3.68% of the paid-up capital, (vii) Ad2pro Global Creative Solutions Private Limited, holding 300 equity shares, constituting 0.018% of the paid-up capital shown as **Annexure-G series.**

We have seen the consent affidavit which is filed by one Preference Shareholder of the Applicant/Transferor Company i.e., (i) Ad2pro Global Creative Solutions Private Limited, holding 11,26,643 Preference Shares, constituting 100% of the paid-up capital shown as **Annexure-H.**

It is further stated that there are three Secured Creditors in the Applicant Company as on 28th February, 2018 as certified by the Chartered Accountant. The certificate of the chartered accountant certifying the list of Secured Creditors is **shown as Annexure-J.**

It is further stated that there are 84 Unsecured Creditors in the Applicant Company as on 28th February, 2018 as certified by the Chartered Accountant. The certificate of the chartered accountant certifying the list of Unsecured Creditors is **shown as Annexure-K.**

The Applicant is seeking an order to direct that the meeting of Secured Creditors and Unsecured Creditors of the Applicant Company be held for approving the Scheme of Arrangement.

After hearing the counsel and after perusing the documents filed, we pass the following order.

The meeting of the Secured Creditors of the Applicant Company be convened and held at Ad2pro Media Solutions Private Limited on Monday the 6th August, 2018 at 10:00A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of arrangement between the Ad2pro Media Solutions Private Limited (Applicant/Transferor Company) and Ad2pro Global Creative Solutions Private Limited (Transferee Company).

Mr.Padmanabha Holla, Advocate as proposed by the Applicant Company is appointed as Chairperson and Mr.Naman Joshi as Scrutinizer for the Meeting of Secured Creditors.The remuneration of Chairperson and Scrutinizer is fixed at Rs.35,000/- and Rs.25,000/- respectively for convening the meeting of Secured Creditors.

The meeting of the Unsecured Creditors of the Applicant Company be convened and held at Ad2pro Media Solutions Private Limited on Monday the 6th August, 2018 at 11:00 A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of arrangement between the Ad2pro Media Solutions Private Limited (Applicant/Transferor Company) and Ad2pro Global Creative Solutions Private Limited (Transferee Company).

Mr.Padmanabha Holla, Advocate as proposed by the Applicant Company is appointed as Chairperson and Mr.Naman Joshi as Scrutinizer for the Meeting of Unsecured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.35,000/- and Rs.25,000/- respectively for convening the meeting of Unsecured Creditors.

The quorum for the Meeting of Secured Creditors is two.

The quorum for the Meeting of Unsecured Creditors is thirty-five.

The Notice of the Meeting of Secured Creditors and Unsecured Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Udayavani".

The Applicant Company or its authorized signatory is directed to issue notice(s) to Secured Creditors and Unsecured Creditors of Applicant Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Equity Shareholders and Unsecured Trade Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Secured creditors and Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of scheme of arrangement, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company is directed at least 30 clear days before the Meeting of the Secured creditors and Unsecured Creditors of the Applicant Companyto be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Arrangement and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Pr.CCIT, Karnataka & Goa, Designated Nodal Officer of Income Tax Department, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the other Sectoral Regulators or Authorities, Stock Exchange if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities, Stock Exchange within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities, Stock Exchange has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The said Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In any eventuality when the Applicant Companies approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Arrangement to put forth their contentions before the Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

Sirisha